Bajaj Finance vs Mahindra Finance

Credit risk through the 7 Cs, backed by a quantitative Credit Risk Index

FY2017-18 to FY2025-26 | Consolidated basis | October 2026

Bajaj is the lower credit risk, but the gap has narrowed from 40 to 14 points

9-yr AUM CAGR	Gross NPA, FY26	RoA, FY26	Credit Risk Index, FY26
Bajaj	Bajaj	Bajaj	Bajaj
26.8%	**1.01%**	**4.30%**	**18.8**
Mahindra	Mahindra	Mahindra	Mahindra
12.9%	**3.34%**	**1.89%**	**33.1**

Mahindra is riskier in all 9 years and all 10 scenarios. The gap is old bad loans and thin buffers, not current losses.

FY26 scorecard: Bajaj wins on every measure except credit cost

Metric	7 C	Bajaj Finance	Mahindra Finance	Better
AUM (₹ Cr)	Context	509,975	143,405	Bajaj
3-year AUM CAGR (%)	Context	27.3	16.8	Bajaj
Gross NPA (%)	Collateral	1.01	3.34	Bajaj
Net NPA (%)	Collateral	0.41	1.40	Bajaj
Provision coverage (%)	Collateral	60.0	58.9	Bajaj (slightly)
Credit cost (%)	Capacity	2.22	1.83	Mahindra
RoA (%)	Capacity	4.30	1.89	Bajaj
RoE (%)	Capacity	18.10	11.85	Bajaj
Cost-to-income (%)	Capacity	32.8	47.6	Bajaj
CRAR (%)	Capital	21.55	18.80	Bajaj
Credit Risk Index (lower = safer)	Synthesis	18.8	33.1	Bajaj

Read with care: two companies, nine years, judgement-based thresholds, correlation is not cause.

The 7 Cs are the frame; financial ratios are the evidence

C	The question it asks	Ratios we use	Type
Character	Is management and governance trustworthy?	None; regulatory record, ownership, track record	Qualitative
Capacity	Can it earn enough through the cycle?	RoA, RoE, cost-to-income, credit cost, loan losses / income	Ratios
Capital	Can it absorb losses?	CRAR, Tier 1, headroom over 15%, leverage	Ratios
Collateral	How good and how secured is the loan book?	Gross NPA, net NPA, PCR, Stage 2, unsecured and high-risk share	Ratios
Conditions	Do industry and regulation help or hurt?	None; rate cycle, RBI rules. FY21 stress as evidence	Qualitative
Cash flow	Can it fund itself and stay liquid?	Cost of funds, leverage (ALM gaps not in our data)	Ratios
Covenants / context	Ratings, group support, borrowing terms	None; rating reports, group ties	Qualitative

4 Cs are measured with ratios, 3 are judged qualitatively. We say clearly which is which.

The data: ten years, reported numbers, five integrity checks passed

The panel

20 company-year rows
64 columns
154 product rows
Consolidated basis
FY17 to FY26 (scoring uses FY18 to FY26)

5 checks, all passed

Net NPA never above gross
CRAR never below Tier 1
Cost ratio recomputes within 0.1 pt
Gross NPA % matches amounts
Product shares sum to 100%

What is estimated

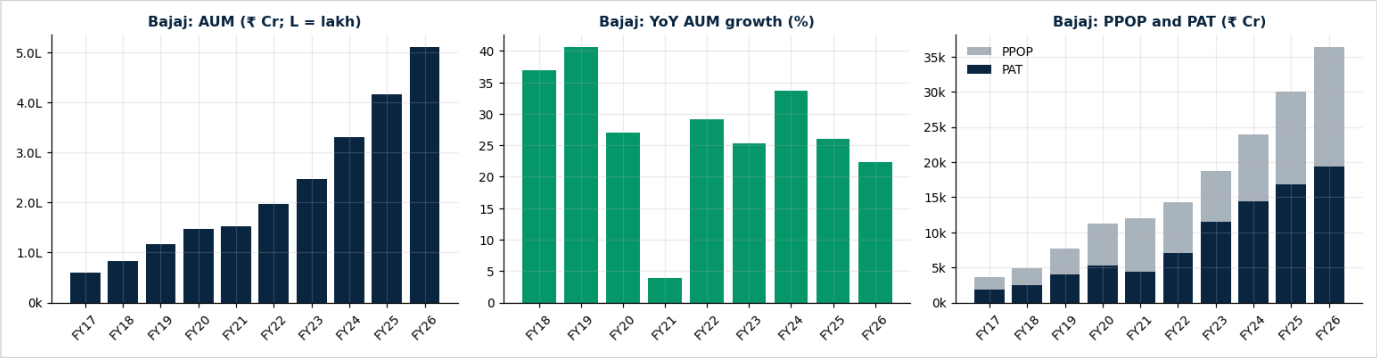
Bajaj net worth, assets, borrowings, write-offs
One-time provisions
FY17 stage data for both

Headline credit ratios are reported, not estimated.

The conclusions rest on reported ratios, not on the estimated fields.

Starting point: Bajaj compounded, Mahindra stalled during COVID

Bajaj Finance (Figure 2)

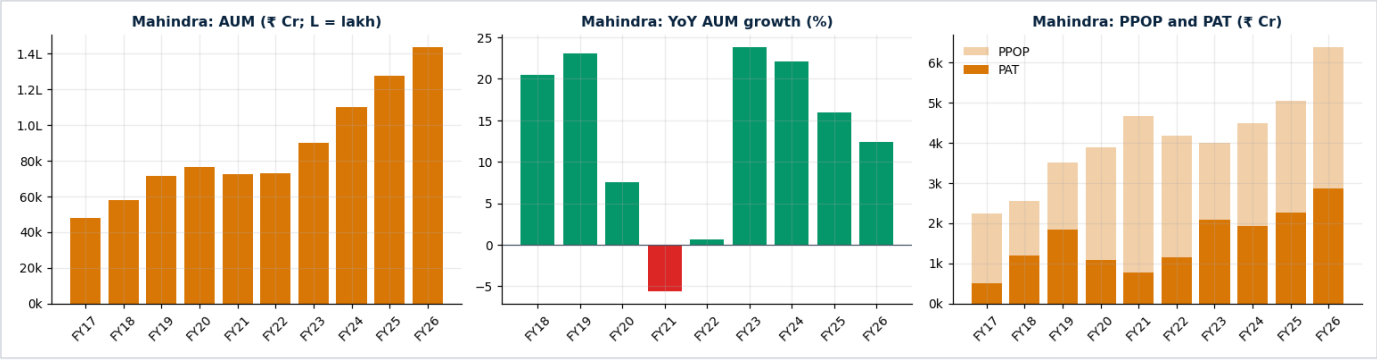


AUM ₹60,196 Cr to ₹509,975 Cr

26.8% a year

FY21 growth only about 4%, then back to 29%

Mahindra Finance (Figure 7)

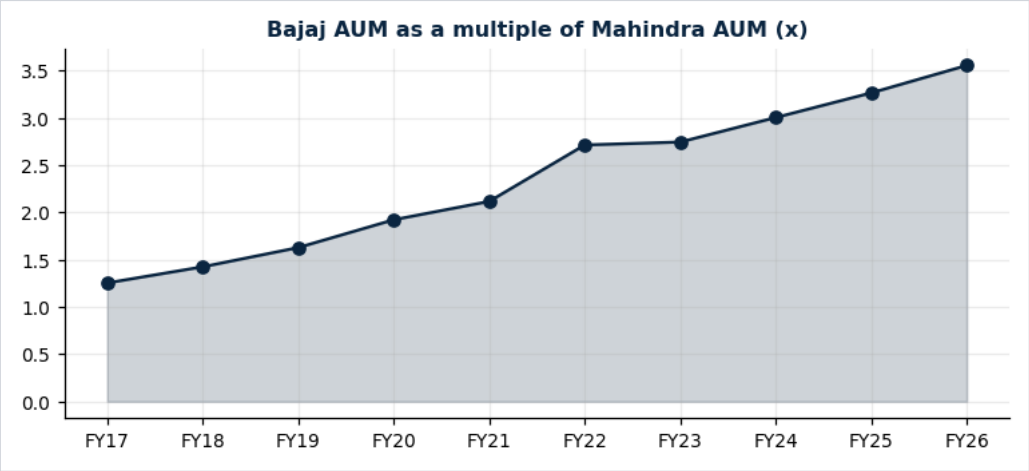


AUM ₹47,994 Cr to ₹143,405 Cr

12.9% a year

FY21 AUM fell 5.5%, FY22 flat

Bajaj is now 3.6 times the size of Mahindra



What the chart shows

- Bajaj AUM / Mahindra AUM: 1.25x (FY17), 2.1x (FY21), 2.7x (FY22), 3.56x (FY26).

What it means

- They started at similar scale and diverged sharply.
- The biggest jump, FY21 to FY22, came in the stress years, not through steady drift.

Character: both are group-backed, but Bajaj faced a recent regulatory action

Bajaj Finance

Promoter-led, part of Bajaj Finserv
Nov 2023: RBI barred it from sanctioning loans under eCOM and Insta EMI Card; curbs lifted in 2024
Best underwriting record in our data: GNPA never above 1.79%

Mahindra Finance

Subsidiary of Mahindra & Mahindra, strong group linkage
Rural, vehicle-focused franchise
Long tail of bad loans: GNPA peaked at 10.18% (FY18), pointing to weaker historic underwriting and recovery

No ratio here. Bajaj is stronger on record, Mahindra on parent backing. Verify RBI details before presenting.

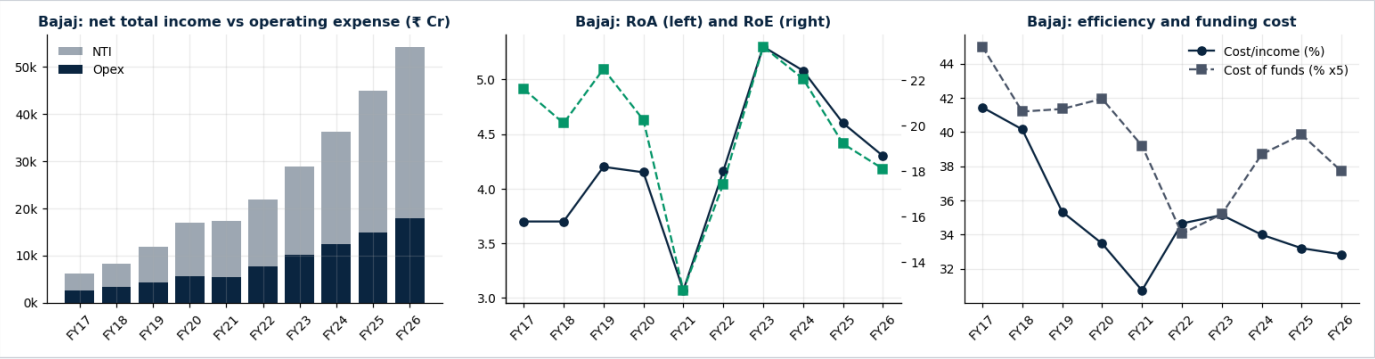
Capacity: five ratios tell us how well each company earns

Ratio	Formula	How to read it	Bajaj FY26	Mahindra FY26
RoA	PAT ÷ average total assets × 100	Profit per ₹100 of assets. Higher = bigger earnings cushion before losses bite.	4.30%	1.89%
RoE	PAT ÷ average equity × 100	Return to owners. Cross-check: RoE = RoA × leverage. Good if driven by RoA, not by debt.	18.10%	11.85%
Cost-to-income	Operating expenses ÷ net total income × 100	Paise spent to earn ₹1. Lower = more efficient.	32.8%	47.6%
Credit cost	(Loan-loss provisions + write-offs) ÷ average loans × 100	Yearly loss charge per ₹100 lent. Lower and steadier = profits protected.	2.22%	1.83%
Loan losses / NTI	Loan-loss provisions ÷ net total income × 100	Share of income eaten by credit losses. Lower = better.	≈19%	≈20%

Bajaj earns 2x the RoA at lower cost. Credit cost has converged, and is now higher at Bajaj.

Capacity over time: Bajaj's returns are stable, Mahindra's swing with credit cost

Bajaj Finance (Figure 4)



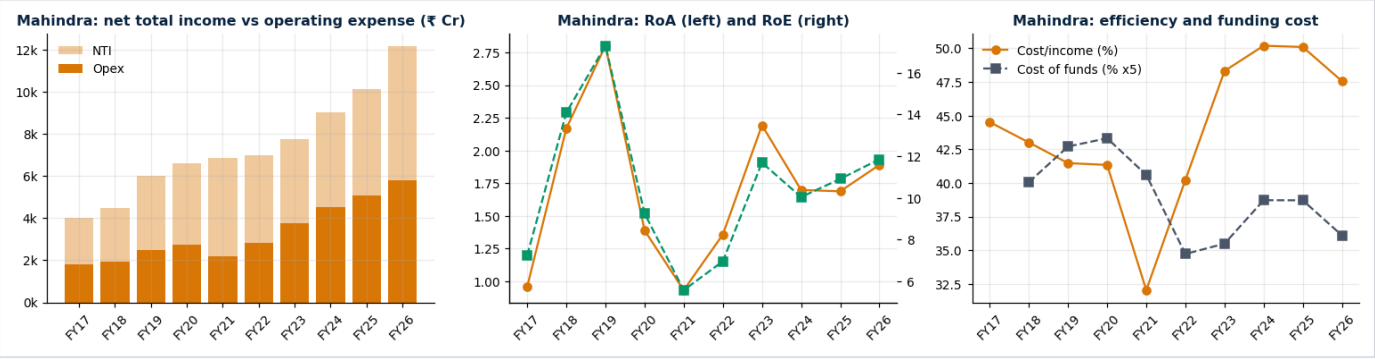
RoA 4.30%

RoE 18.1%

Cost-to-income 32.8% (41.5% in FY17)

Peak RoA about 5.3% (FY23)

Mahindra Finance (Figure 9)



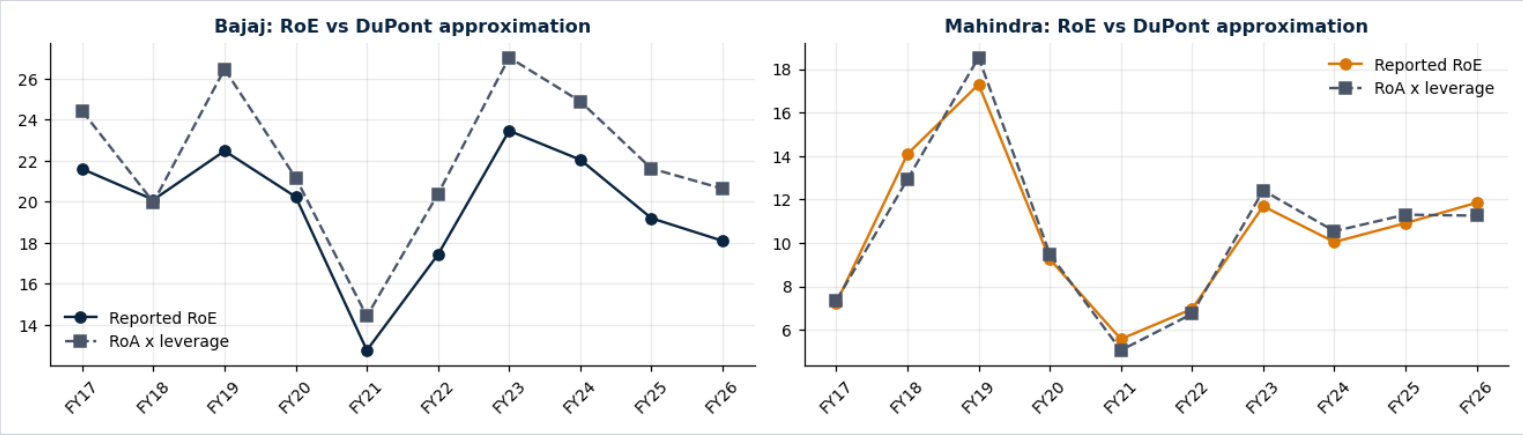
RoA 1.89%

RoE 11.85%

Cost-to-income 47.6% (about 50% in FY24-25)

RoA swung 0.93% to 2.8%

Bajaj's RoE lead is from earnings, not borrowing



FY26 RoE gap decomposition (pts)	Value
RoA effect (at Mahindra leverage)	+14.4
Leverage effect (at Bajaj RoA)	-5.0
DuPont approximation of the gap	+9.4
Reported RoE gap (Bajaj - Mahindra)	+6.2
Residual (averaging / definitions)	-3.1

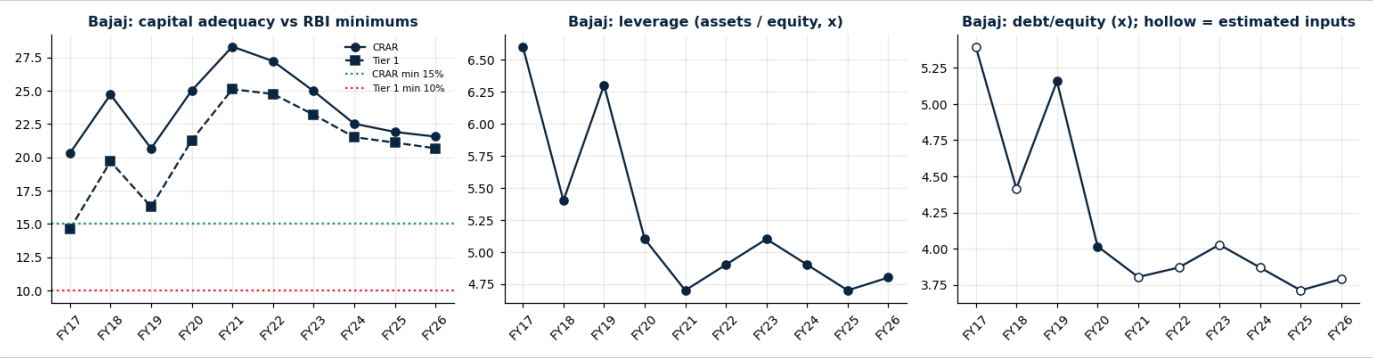
Capital: four ratios show how much loss each can absorb

Ratio	Formula	How to read it	Bajaj FY26	Mahindra FY26
CRAR	Total capital ÷ risk-weighted assets × 100	Loss-absorbing buffer relative to risk taken. RBI minimum 15%. Higher = safer.	21.55%	18.80%
Tier 1 ratio	Tier 1 (core) capital ÷ risk-weighted assets × 100	Highest-quality capital (mainly equity). RBI minimum 10%.	20.67%	16.70%
Headroom	CRAR − 15% (percentage points)	Room to grow or take losses before hitting the minimum. Bigger = safer.	6.55 pts	3.80 pts
Leverage	Total assets ÷ equity (x)	Reliance on borrowing. Higher = more debt per ₹1 of equity, so less margin for error.	4.80x	5.96x

Both cushions are thinner than in FY21-22. Mahindra's is the thinner one.

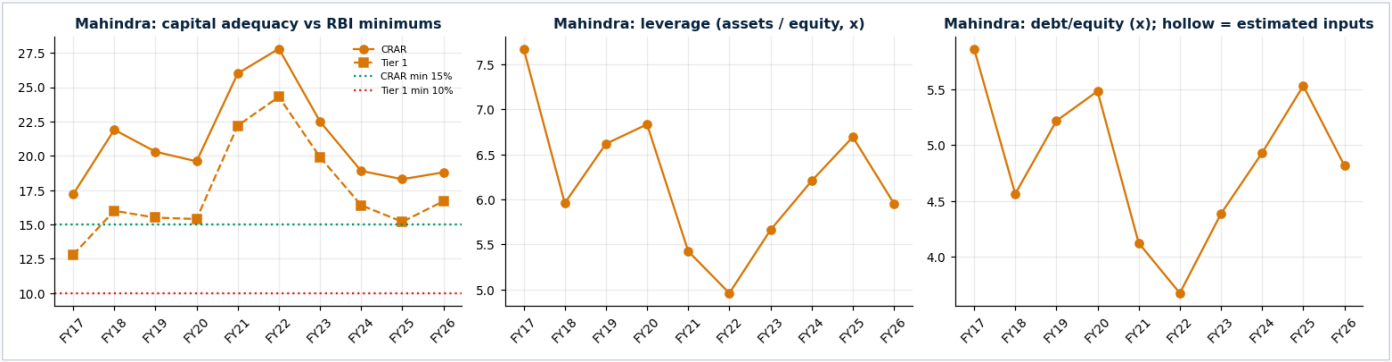
Capital over time: both built a cushion, then used it to grow

Bajaj Finance (Figure 5)



- CRAR peaked 28.3% (FY21), now 21.55%
- Headroom 13.3 pts to 6.55 pts
- Leverage flat at 4.7-5.1x since FY21

Mahindra Finance (Figure 10)



- CRAR peaked 27.8% (FY22), now 18.8%
- Headroom only 3.8 pts
- Leverage back near 6x, as before COVID

Collateral: for a lender, this means the quality and security of the loan book

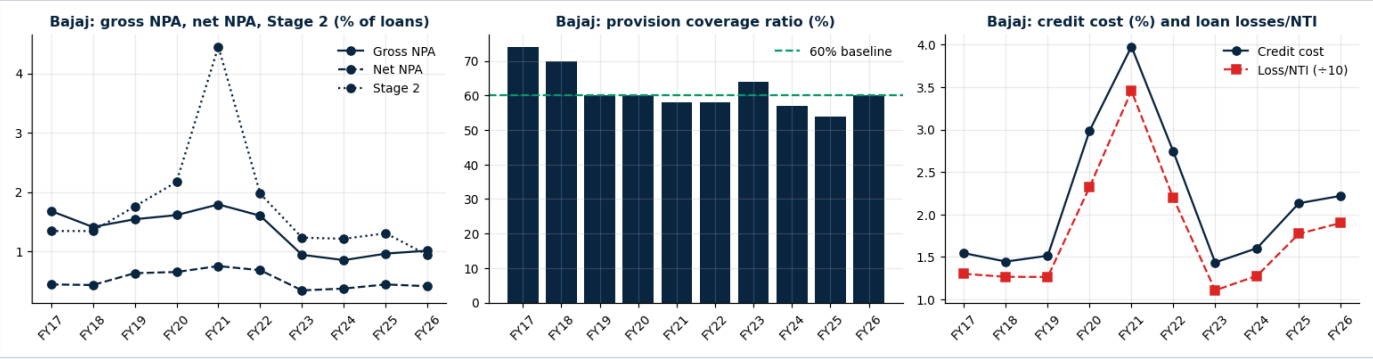
Ratio	Formula	How to read it	Bajaj FY26	Mahindra FY26
Gross NPA %	Gross NPA ÷ gross loans × 100	Share of loans where borrowers have stopped repaying. Lower = better.	1.01%	3.34%
Net NPA %	(Gross NPA − provisions) ÷ (gross loans − provisions) × 100	Bad loans left after provisions: the part not yet covered. Lower = better.	0.41%	1.40%
PCR	Provisions held against NPA ÷ gross NPA × 100	How much of the bad-loan stock is already covered. Higher = safer.	60.0%	58.9%
Stage 2 %	Stage 2 loans ÷ total loans × 100	Early-warning loans (risk up, not yet NPA). Rising = trouble ahead.	0.94%	4.71%
Unsecured share	Unsecured loans ÷ segment AUM × 100	Loans with no collateral behind them. Higher = bigger loss if borrowers default.	≈45.5%	≈5%*
High-risk share	High-risk segment AUM ÷ segment AUM × 100	Share in products classed as high risk. Lower = safer.	37%	11.6%

** Mahindra's unsecured share (SME, bills, trade, mixed at 50%) is defined differently from Bajaj's and is not directly comparable.*

Mahindra's bad loans are 3x Bajaj's. Bajaj's risk lies in its large unsecured share.

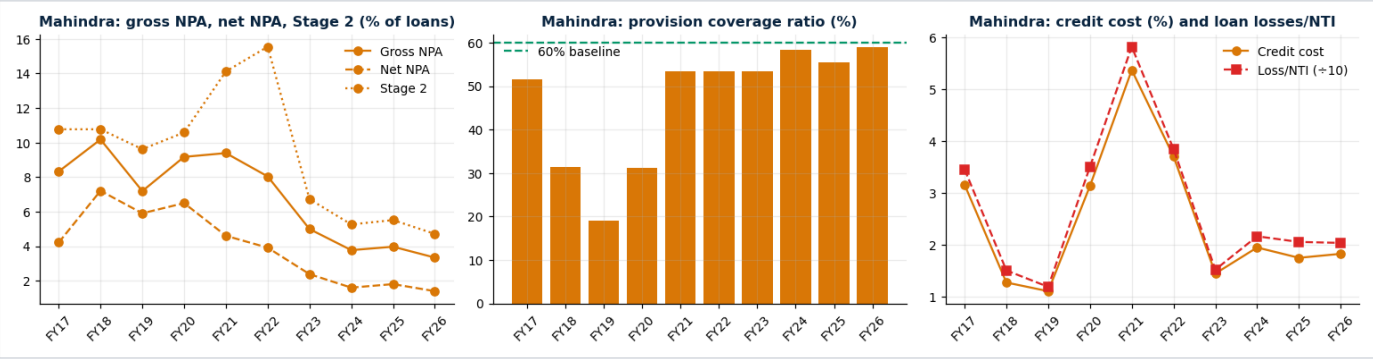
Collateral: Mahindra's bad-loan stock fell sharply but is still 3x Bajaj's

Bajaj Finance (Figure 3)



- Gross NPA 1.01% (peak 1.79%)
- Stage 2 spike 4.45% in FY21
- PCR 60%
- Credit cost 2.22%, up 3 years

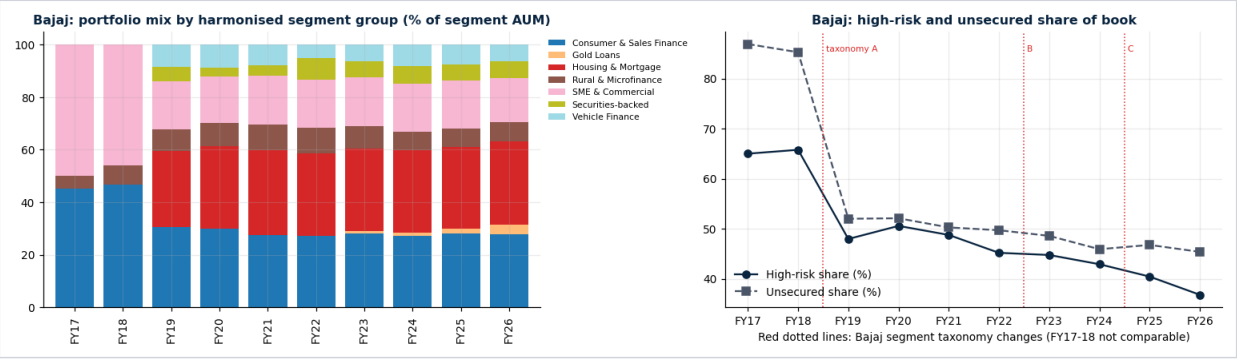
Mahindra Finance (Figure 8)



- Gross NPA 3.34% (peak 10.18%)
- Stage 2 peak about 15.5% (FY22)
- PCR 58.9% (19% in FY19)
- Credit cost 1.83%

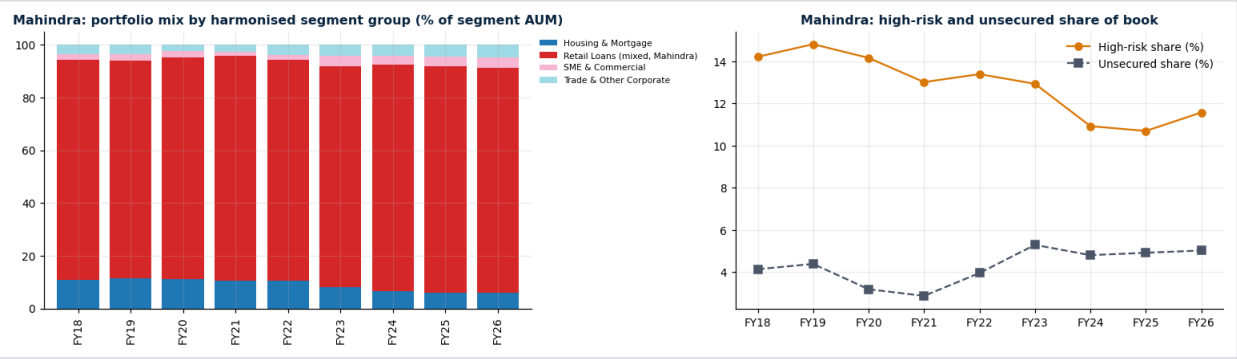
Loan mix: Bajaj is diversified but unsecured, Mahindra is concentrated

Bajaj Finance (Figure 6)



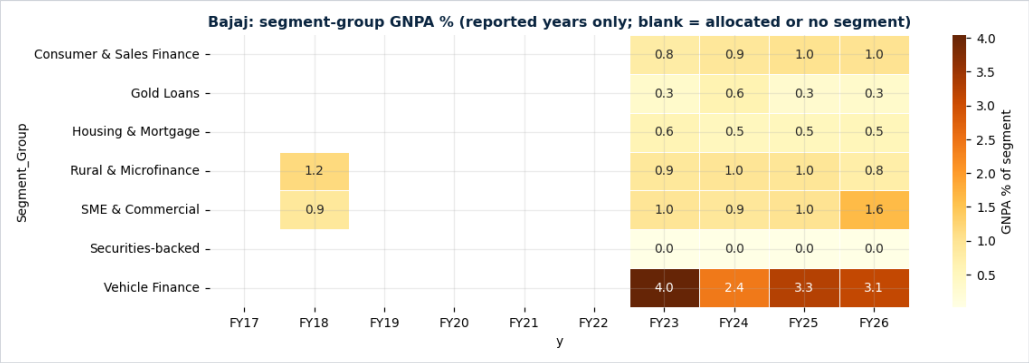
- Housing & mortgage 31.8%
- Consumer 27.8%, SME 16.7%
- High-risk share 66% to 37%
- Unsecured 45.5%

Mahindra Finance (Figure 11)



- Retail loans 85.4% of book
- Housing 11% to 6%
- High-risk share 11.6%
- 86.8% of growth from retail

Under Bajaj's 1.01% headline sits a two-speed book



FY26 segment GNPA

Vehicle finance 3.1%, SME 1.6%, Consumer 1.0%, Housing 0.5%, Gold 0.3%. Blank cells are allocated, not reported.

SME & Commercial is the only segment getting worse.

	Bajaj Finance	Mahindra Finance
Largest segment, FY26	Housing & mortgage, 31.8%	Retail loans, 85.4%
Share of growth	Mortgage 32.5%, consumer 27.1%	Retail loans 86.8%
Unsecured share	About 45%	About 5% (different definition)
Segment GNPA, FY26	Vehicle 3.1%, SME 1.6%, housing 0.5%	Not reliably reported
Main risk	Consumer credit cost	Single-product concentration

Conditions: tighter consumer-credit rules weigh on both, more on Bajaj

- Nov 2023: RBI raised risk weights on consumer credit and bank lending to NBFCs. This raises capital needs for unsecured books
- Bajaj: about 45% unsecured, so credit cost is more sensitive to consumer stress (1.43% to 2.22% in three years)
- Mahindra: 85% retail loans in rural and semi-urban India, tied to vehicle demand, monsoons, rural incomes
- Falling policy rates help both via funding cost. A downturn hits Mahindra's thinner capital first

How each fared in the FY21 shock	Bajaj	Mahindra
AUM growth, FY21	≈4%	-5.5%
Credit cost, FY21	3.98%	5.38%
RoA, FY21	3.07%	0.93%
Credit Risk Index, FY21	33.2	73.6

No ratio for Conditions: the FY21 table is evidence of sensitivity, not a measure of the environment. Confirm RBI details before presenting.

Both are exposed to conditions, through different channels.

Cash flow and funding: cost of funds is almost identical now

Ratio	Formula	How to read it	Bajaj FY26	Mahindra FY26
Cost of funds	Interest expense ÷ average borrowings × 100	What it costs to raise money. Lower = more margin. Similar for both = not a differentiator.	7.54%	7.22%
Leverage	Total assets ÷ equity (x)	Reliance on borrowing. Higher = more refinancing need.	4.80x	5.96x
ALM gap / liquidity	*Inflows − outflows by maturity bucket; liquid assets ÷ 30-day net outflows*	*Shows whether cash arrives before it must go out. Not in our dataset.*	*n/a*	*n/a*

- Funding cost has moved together since FY22
- Mahindra relies more on borrowing (5.96x vs 4.8x)
- Gap: ALM and liquidity data not in our dataset

Covenants and context: both carry top ratings, supported by group ties

What we know

Both rated AAA (highest domestic level) by major agencies, lowering funding cost and widening market access
Mahindra: rating helped by expected support from Mahindra & Mahindra
Bajaj: relies on its own franchise and the Bajaj Finserv group

What we did not do

Rating triggers and covenants on bank and bond borrowings are in debt disclosures; not modelled

Stress test to add: effect on access and cost of funds if a rating moves down a notch

No ratio here. Check current ratings and outlooks on CRISIL, ICRA and India Ratings reports.

Seven Cs, twelve metrics: Bajaj leads, the gaps narrow after FY22



Verdict by C: Bajaj is stronger on four, the rest are mixed or level

C	Stronger	Key evidence
Character	Mixed	Bajaj: best underwriting record, but 2023 RBI action. Mahindra: parent backing, long tail of bad loans
Capacity	**Bajaj**	RoA 4.30% vs 1.89%; cost-to-income 32.8% vs 47.6%. Credit cost now higher at Bajaj
Capital	**Bajaj**	Headroom 6.55 vs 3.8 pts; leverage 4.8x vs 5.96x. Both cushions are shrinking
Collateral	**Bajaj**	GNPA 1.01% vs 3.34%; Stage 2 0.94% vs 4.71%. But about 45% of Bajaj is unsecured
Conditions	Both exposed	Bajaj to consumer-credit rules; Mahindra to the rural cycle and thin capital
Cash flow	Roughly level	Cost of funds 7.54% vs 7.22%. ALM and liquidity not in our data
Covenants / context	Roughly level	Both AAA; Mahindra helped by parent support
Overall	**Bajaj: lower risk**	**Credit Risk Index FY26: 18.8 (Low) vs 33.1 (Moderate)**

The Credit Risk Index scores seven ratios from the Cs on a 0-100 scale

Input	From which C	Pillar	Score 0 at	Score 100 at
Gross NPA (%)	Collateral	Asset quality	1.0	8.0
Net NPA (%)	Collateral	Asset quality	0.5	4.0
Stage 2 (%)	Collateral	Asset quality	1.0	12.0
Credit cost (%)	Capacity	Loss experience	1.0	5.0
Loan losses / NTI (%)	Capacity	Loss experience	10.0	50.0
PCR (%)	Collateral	Loss absorption	70.0	30.0 (reversed)
CRAR headroom over 15% (pts)	Capital	Loss absorption	10.0	0.0 (reversed)

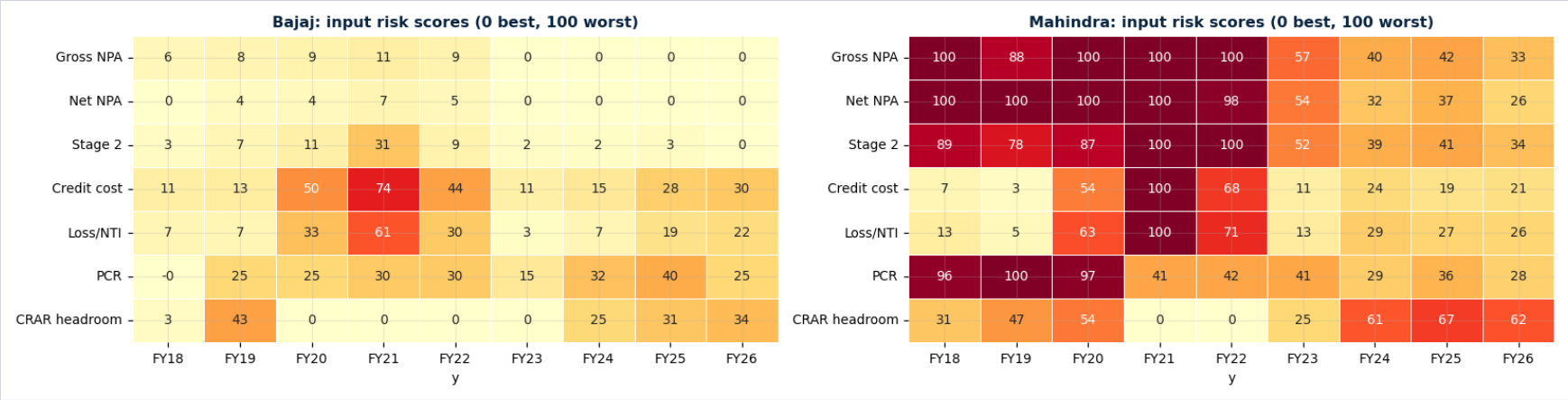
Score = 100 × (value − best) ÷ (worst − best), capped at 0 and 100

Pillar = average of its inputs. Index = average of the three pillars (equal weights).

Example, Mahindra FY26 gross NPA 3.34%: (3.34 − 1) ÷ (8 − 1) × 100 = 33. Bands: Low under 25, Moderate 25-50, High over 50.

Not in the index: Character, Conditions, Cash flow, Covenants (qualitative or not in our data). Thresholds are analyst judgement.

Input scores show why: Mahindra's risk is the stock of bad assets



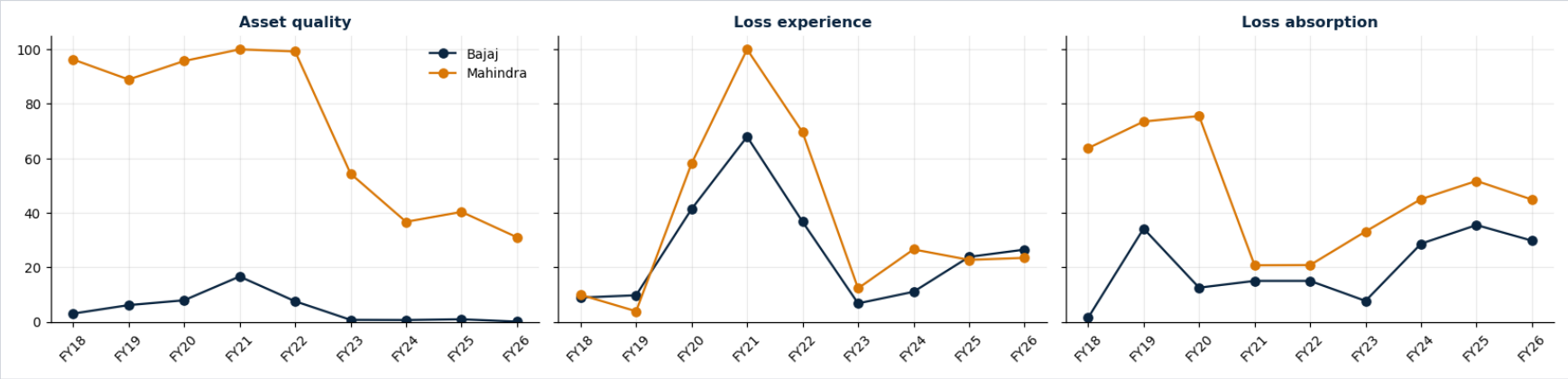
What the chart shows

- Each input scored 0-100; darker red = riskier.
- Mahindra scores 100 on gross and net NPA through FY22.

What it means

- Mahindra: stock of bad assets and thin cover. Bajaj: small, flow-based, with a thinner buffer.
- Mahindra's capital-headroom score (61-67) is its second-worst input now.

By pillar: current losses are alike, inherited asset quality is not



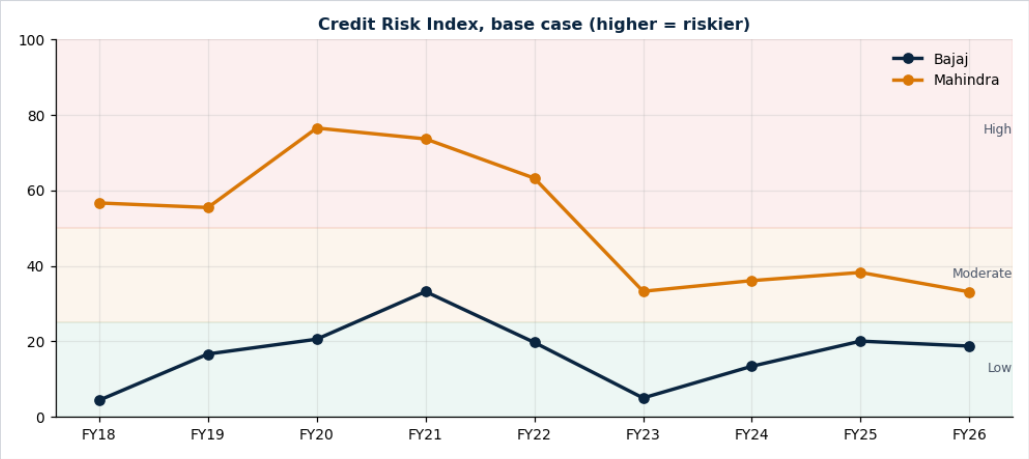
What the chart shows

- Asset quality: Bajaj under 20; Mahindra 90-100 until FY22, 31 in FY26.
- Loss experience: both converge at 23-26 in FY25-26.

What it means

- Today's gap is inherited asset quality and thinner buffers, not current losses.
- Loss absorption scores rise for both after FY23 as capital headroom falls.

Index over time: Mahindra moved from High to Moderate, Bajaj stays Low



What the chart shows

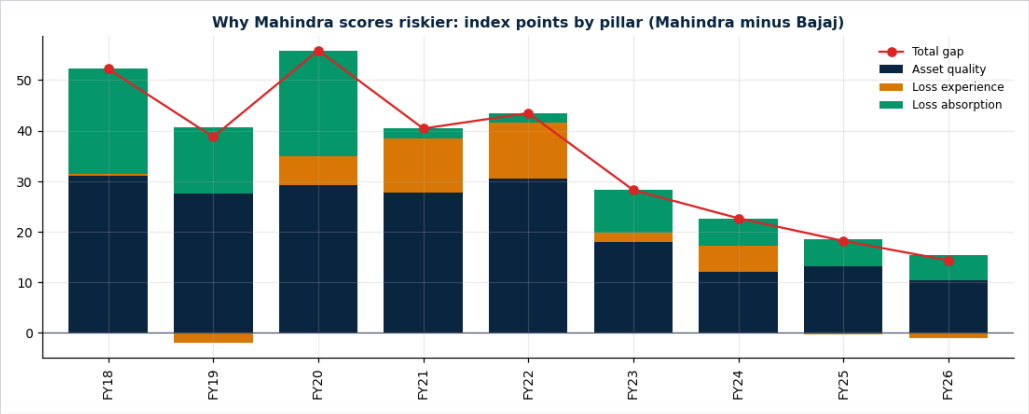
- Bajaj: 4.4 (FY18), 33.2 (FY21), 5.0 (FY23), 18.8 (FY26).
- Mahindra: 76.5 (FY20 peak), 33.1 (FY26).

What it means

- Mahindra improved 43 points; most came in FY23.
- Bajaj drifted up 14 points from its FY23 low. Read ranking and trend, not exact levels.

Index	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Bajaj	4.4	16.7	20.6	33.2	19.7	5.0	13.4	20.1	18.8
Mahindra	56.6	55.4	76.5	73.6	63.2	33.3	36.1	38.2	33.1
Gap (M - B)	52.2	38.7	55.9	40.4	43.5	28.3	22.7	18.1	14.3

Why Mahindra scores riskier: bad-asset stock and buffers, not current losses



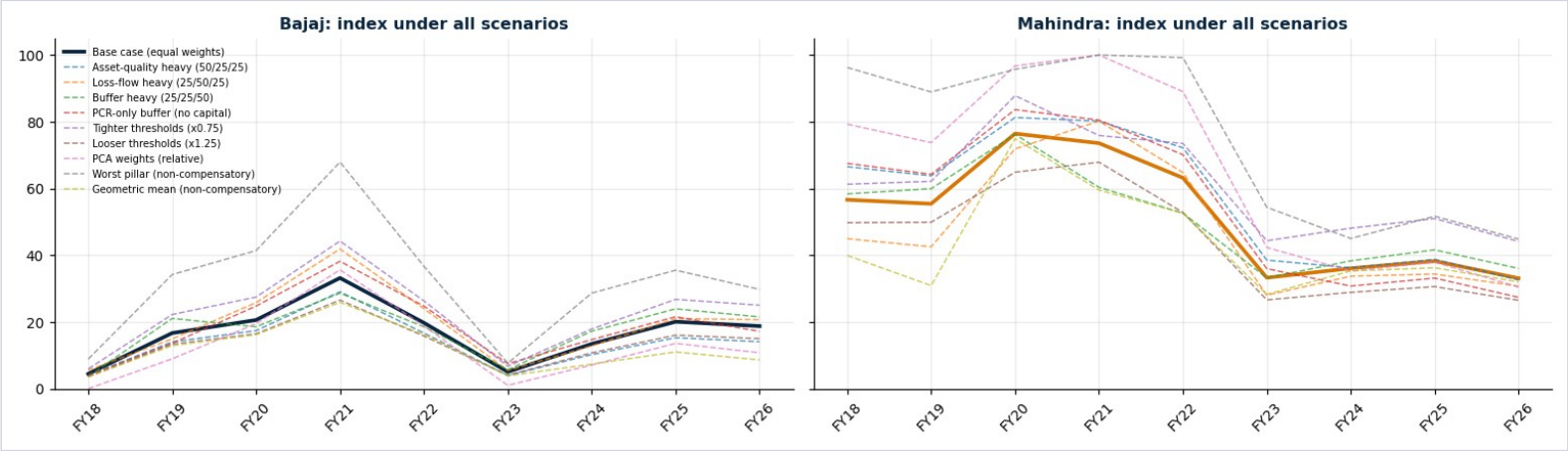
What the chart shows

- Gap: 52 (FY18), 40 (FY21), 14.3 (FY26).
- FY26: asset quality +10.3, loss experience -1.0, loss absorption +5.0.

What it means

- Asset quality drives the gap in almost every year.
- Mahindra is riskier on inherited bad assets and thinner buffers, not on current losses.

Ranking holds under ten scenarios; only the size of the gap moves



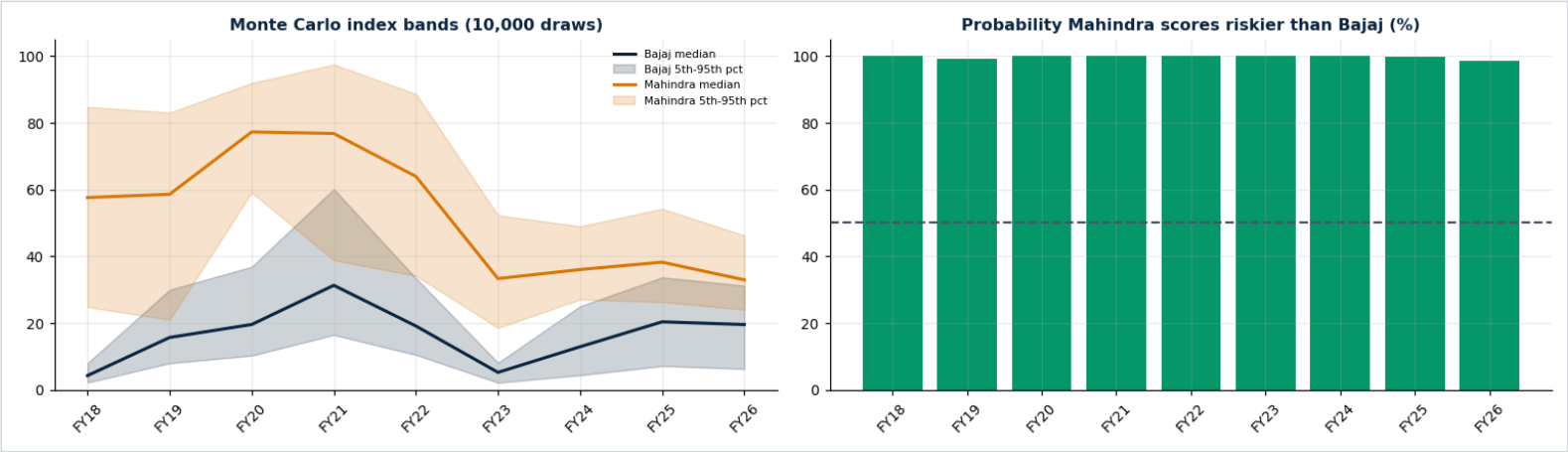
What the chart shows

- Thick line = base case; dashed = nine alternatives (weights, thresholds, PCA, worst-pillar, geometric mean).
- Mahindra above Bajaj in every scenario and year.

What it means

- The ranking does not depend on any one method choice.
- The size does: Mahindra FY21 ranges 59.5 to 100. Quote levels as a range.

Direction is certain, magnitude is not: Monte Carlo over 10,000 draws



What the chart shows

- Left: median and 5th-95th percentile bands from 10,000 draws of weights and thresholds (±25%).
- Right: share of draws where Mahindra is riskier; every year 98-100%.

What it means

- Mahindra is riskier in at least 98.5% of draws in every year.
- Bands overlap in FY19, FY21, FY25 and FY26, so the exact gap size is uncertain.

Validation: the index describes today's condition, it does not forecast

Company	r (index t vs credit cost t+1)	p-value	n
Bajaj	0.43	0.28	8
Mahindra	0.50	0.20	8
Pooled	0.30	0.26	16

- Positive but not significant: a snapshot, not a forecast
- Index vs gross NPA: 0.89 (Mahindra), 0.51 (Bajaj). One ratio alone misses Bajaj's risk
- Stress peaks match: Bajaj FY21, Mahindra FY20

Use the index for ranking and trend. Quote levels as a range.

Conclusion: Mahindra is the riskier credit, and both have watch points

Bajaj Finance: watch

Credit cost up three years running (1.43% to 2.22%)
About 45% unsecured exposure
Capital cushion halved to 6.55 pts
PCR near 60%
Vehicle finance GNPA about 3%, SME GNPA rising to 1.6%

Mahindra Finance: watch

GNPA still 3.3x Bajaj's
Cost-to-income near 48%
Thin 3.8 pt capital cushion
About 85% in one product
Retail concentration rising (HHI 7,346)

Mahindra is a turnaround story; Bajaj is strong but its risk is creeping up.

Limitations and next steps

Limitations

Two companies, nine Ind AS years: a case study, not a sector view
Thresholds are judgement; quote levels as ranges
Some Bajaj inputs estimated; segment GNPA partly allocated
3 of 7 Cs qualitative; no ALM or liquidity data
Correlations are not causes

Next steps

Add 6-8 peer NBFCs
Add a funding and ALM pillar
Add macro variables: repo rate, GDP, rural income
Verify qualitative facts against RBI and rating reports

Backup: FY21 (COVID) and FY26 snapshot

Metric	Bajaj FY21	Bajaj FY26	Mahindra FY21	Mahindra FY26
AUM (₹ Cr)	152,947	509,975	72,240	143,405
3-yr AUM CAGR (%)	22.9	27.3	7.7	16.8
Gross NPA (%)	1.79	1.01	9.39	3.34
Net NPA (%)	0.75	0.41	4.61	1.40
Provision coverage (%)	58.0	60.0	53.4	58.9
Stage 2 (%)	4.45	0.94	14.12	4.71
Credit cost (%)	3.98	2.22	5.38	1.83
RoA (%)	3.07	4.30	0.93	1.89
RoE (%)	12.77	18.10	5.57	11.85
Cost-to-income (%)	30.7	32.8	32.0	47.6
Cost of funds (%)	7.84	7.54	8.12	7.22
CRAR (%)	28.31	21.55	26.00	18.80
Tier 1 (%)	25.11	20.67	22.20	16.70
Leverage (x)	4.70	4.80	5.43	5.96

Backup: Mahindra product growth and Bajaj segment contribution

Mahindra product	FY18 (₹ Cr)	FY26 (₹ Cr)	CAGR %	Share FY26 %	Share of growth %
Retail loans	48,170	122,410	12.4	85.4	86.8
Housing finance	6,312	8,512	3.8	5.9	2.6
SME financing	1,361	5,741	19.7	4.0	5.1
Trade advances	1,437	3,163	10.4	2.2	2.0
Bills of exchange	550	2,350	19.9	1.6	2.1
Finance lease	0	1,229	n/a	0.9	1.4

Bajaj segment group	FY19 (₹ Cr)	FY26 (₹ Cr)	CAGR %	Share of growth %
Housing & Mortgage	33,870	162,077	25.1	32.5
Consumer & Sales Finance	35,263	141,915	22.0	27.1
SME & Commercial	21,427	85,409	21.8	16.2
Rural & Microfinance	9,243	37,991	22.4	7.3
Securities-backed	6,359	33,247	26.7	6.8
Vehicle Finance	9,726	31,505	18.3	5.5
Gold Loans	0	17,831	n/a	4.5

Backup: which relationships are stable, and does mix move with bad loans?

Company	Pair	All years	Ex FY21	YoY
Bajaj	Growth vs credit cost	-0.81	-0.50	-0.71
Bajaj	Credit cost vs RoE	-0.87	-0.68	-0.86
Bajaj	Stage 2 vs credit cost	0.85	0.60	0.77
Bajaj	Gross NPA vs PCR	0.11	0.24	-0.51
Mahindra	Growth vs credit cost	-0.95	-0.92	-0.92
Mahindra	Credit cost vs RoE	-0.88	-0.86	-0.87
Mahindra	Stage 2 vs credit cost	0.69	0.59	0.68
Mahindra	Gross NPA vs PCR	-0.60	-0.74	0.66

Company	Mix link	r (levels)	r (changes)
Bajaj	High-risk vs GNPA	0.76	-0.08
Bajaj	Unsecured vs GNPA	0.84	0.14
Bajaj	High-risk vs Stage 2	0.64	0.32
Mahindra	High-risk vs GNPA	0.81	-0.25
Mahindra	Unsecured vs GNPA	-0.83	-0.76
Mahindra	Unsecured vs credit cost	-0.79	-0.92

Descriptive only: levels move together because of shared trends. Not evidence of cause.

Backup: Credit Risk Index scenario results

Scenario	Bajaj FY26	Mahindra FY26	Bajaj FY21	Mahindra FY21	Mahindra riskier
Base case (equal weights)	18.8	33.1	33.2	73.6	9/9
Asset-quality heavy (50/25/25)	14.1	32.6	29.0	80.2	9/9
Loss-flow heavy (25/50/25)	20.7	30.7	41.9	80.2	9/9
Buffer heavy (25/25/50)	21.5	36.0	28.6	60.4	9/9
PCR-only buffer (no capital)	17.2	27.4	38.2	80.5	9/9
Tighter thresholds (x0.75)	25.0	44.1	44.2	75.9	9/9
Looser thresholds (x1.25)	15.0	26.5	26.5	67.9	9/9
PCA weights (relative)	10.8	30.4	35.6	100.0	9/9
Worst pillar (non-compensatory)	29.7	44.8	67.9	100.0	9/9
Geometric mean (non-compensatory)	8.6	32.0	25.9	59.5	9/9